MalikTrades

VOLUME PROFILE 101

How the auction works, and why our levels matter

VP ACADEMY · 03

START HERE

One idea

Everything in this system comes back to it.

Price moves to find where business gets done.

That's the whole idea behind volume profile. The market is always looking for the price where buyers and sellers are both happy to trade. When it finds one, volume builds there. When it doesn't, price gets pushed away.

Every level we mark (NYVAH, ONPOC, PWVAL, dPOC and the rest) is just a price where the market already found that agreement. That's why price reacts when it comes back to them.

WHAT'S INSIDE

PART 01 — **The auction**
How price finds value, and what happens inside it vs outside it

PART 02 — **Reading a profile**
POC, VAH, VAL and HVN, and why above the dVAH is expensive and below the dVAL is cheap

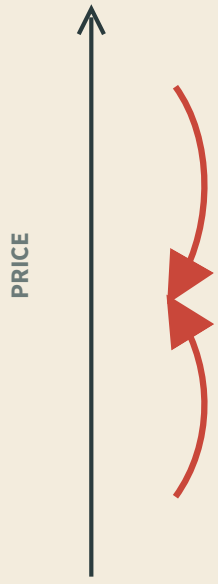
PART 03 — **Our levels and setups**
The four profiles we mark, how they stack into a grade, and the Snap, Flip and Magnet

PART 01

The Auction

Price is always testing for a fair deal.

Think of a durian stall. Price them too high and nobody buys, so the price comes down. Price them too low and they sell out, so the price goes up. Most durians get sold at the price in between, where both sides are happy.



TOO EXPENSIVE

Buyers walk away. Nobody trades, so price has to come down.

FAIR VALUE

Buyers and sellers both happy. This is where most trade happens.

TOO CHEAP

Buyers rush in. Stock runs out, so price has to go up.

NQ works the same way, just much faster. Price moves up looking for sellers and down looking for buyers. Where both sides agree, trading slows and **volume builds**. Where nobody wants to trade, price gets **pushed away fast**.

KEY TAKEAWAY

Lots of volume at a price means the market accepted it. Very little volume means it rejected it.

PART 01

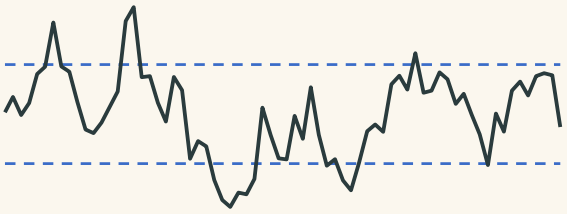
Inside Value or Leaving It

The market only ever does one of two things.

Most of the time price is in **balance**: rotating inside a range because both sides agree on value. Then one side takes over, price breaks out (**imbalance**), and it trends until it finds a new range to rotate in.

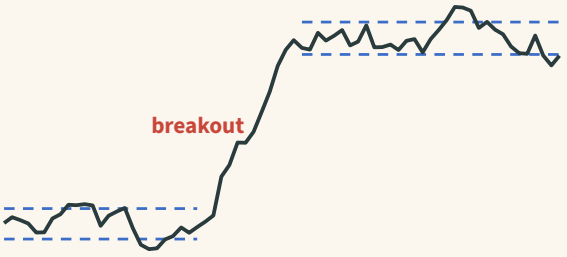
Balance

Price rotates inside a range. Both sides agree on value.



Imbalance

Value is no longer accepted. Price trends to a new range.



This is exactly what we're reading at every level:

Price rejected at the edge

It can't build volume past the level, so it rotates back towards value. **That's the Snap.**

Price accepted beyond it

Volume builds past the level, so the market wants new prices. **That's the Flip, or the Magnet.**

KEY TAKEAWAY

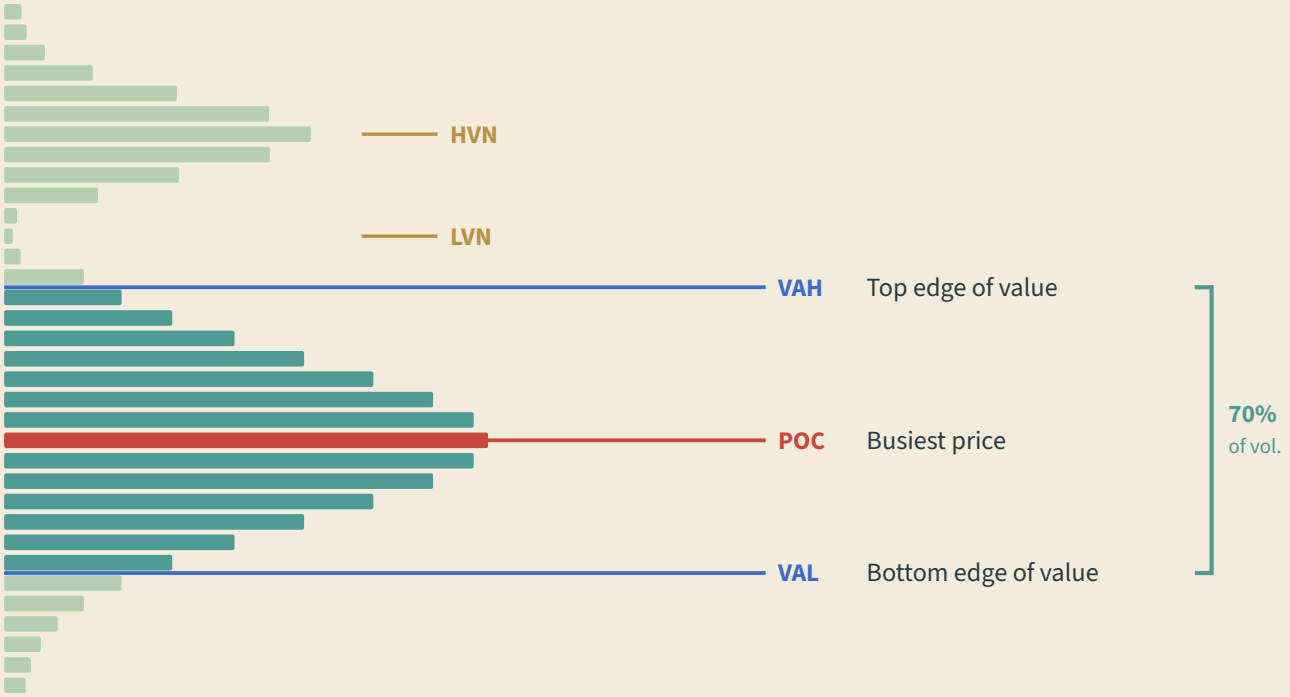
Every time price reaches a level, the question is the same: does the market accept it, or reject it?

PART 02

Reading a Profile

Volume at each price, turned sideways.

A profile shows how much volume traded at each price. Long bars are prices the market liked. Short bars are prices it passed through.



POC POINT OF CONTROL

The price with the most volume: the fairest price of that session.

VAH and VAL VALUE AREA HIGH / LOW

The top and bottom of the 70% of volume. The edges of value.

In our levels: NYVAH/NYVAL, ONVAH/ONVAL, PWVAH/PWVAL, dVAH/dVAL.

HVN HIGH VOLUME NODE

A thick bulge of volume. Price slows down and gets stuck there.

Counts as a confluence, and a warning if it builds just above or below your level.

LVN LOW VOLUME NODE

A thin gap. Price was rejected there, so it moves through fast.

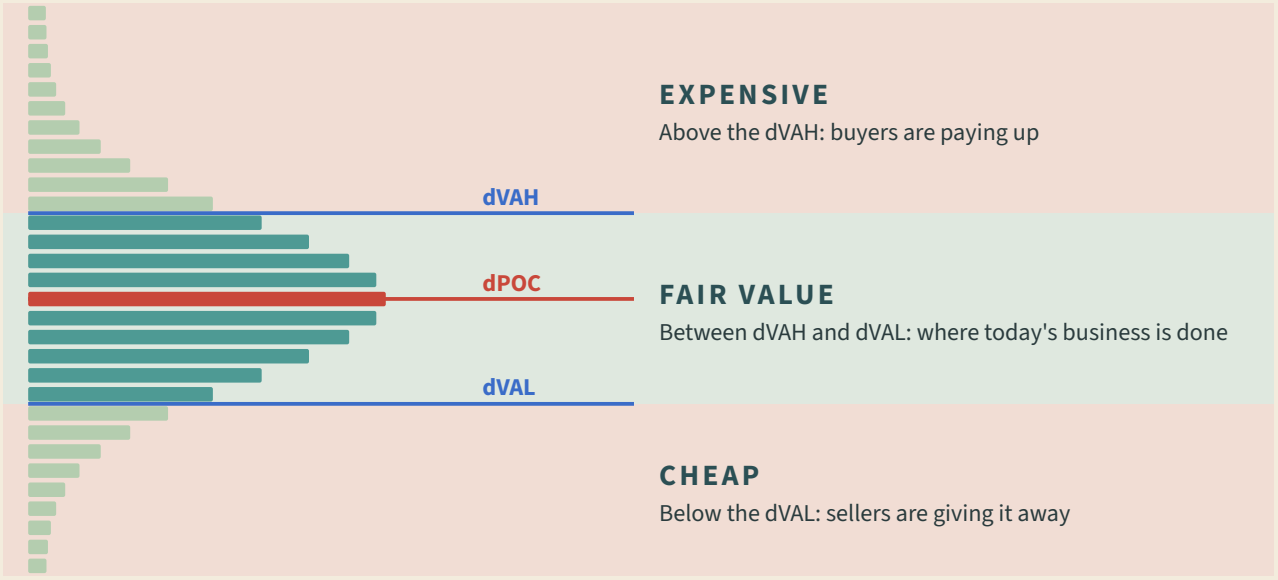
Why price can fly from one level to the next.

PART 02

Expensive, Fair and Cheap

Your developing profile splits the day into three zones.

Remember the durian stall: too expensive, fair, too cheap. The developing profile shows you exactly where those zones are today.



When price pushes above the dVAH or below the dVAL, it's testing whether the market will accept those prices. One of two things happens:

It snaps straight back

Price goes into expensive or cheap and buyers or sellers step in immediately. The market doesn't want those prices. **The Magnet is not valid here.**

Volume builds out there

Price stays and volume builds above the dVAH or below the dVAL. The market likes these prices. **Now the dPOC retest is a Magnet**, continuing the way price broke.

KEY TAKEAWAY

Above the dVAH is expensive, below the dVAL is cheap. What matters is whether the market accepts it.

PART 03

The Four Profiles We Mark

Each one is value the market already agreed on.



One trading day on CME, in New York time. Red marks are when we start trading. Asia: 08:00 SGT all year.

NY session

09:30 – 15:59 ET · NYVAH, NYPOC, NYVAL

Where the biggest players traded.

Overnight

18:00 – 09:29 ET · ONVAH, ONPOC, ONVAL

Value built through Asia and London, before New York opens.

Previous week

Sun 18:00 – Fri 16:59 ET · PWVAH, PWPOC, PWVAL

The bigger picture. Where the higher timeframes agreed on value.

Developing

From 18:00 ET (Asia, London) · 09:30 ET (NY) · dVAH, dPOC, dVAL

Today's value, building live. In NY we give it 30 minutes, which is why we start at 10:00.

WHY OLD LEVELS STILL WORK

Orders rest at prices the market already traded heavily. When price comes back, it has to decide again: accept or reject.

Which ones to mark for your session is on the Futures Cheat Sheet (VP Academy #02).

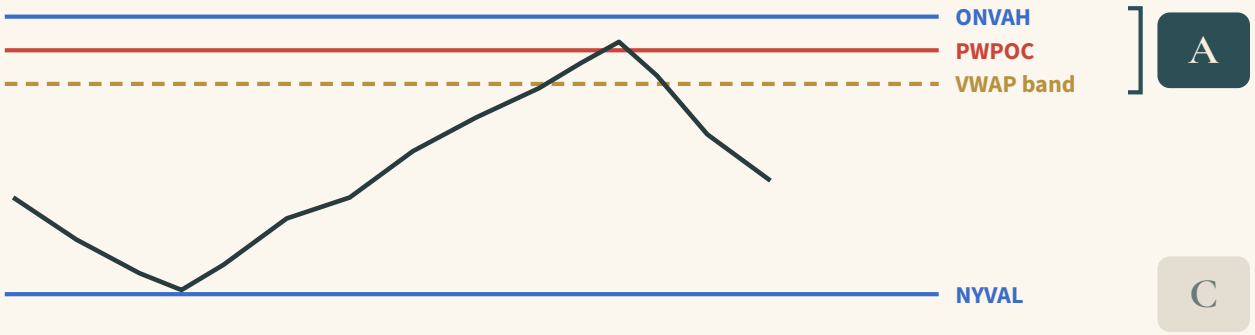
PART 03

Stacking Levels into a Grade

More levels in one place, stronger reaction.

One level on its own can work. But when several levels land at the same price, a lot more orders are waiting there, so the reaction is usually stronger. That's what our grade measures.

3 levels stacked together = 3 confluences = **A grade**



1 level on its own = 1 confluence = **C grade**

GRADE	CONFLUENCES	WHAT COUNTS
S	4 or more	Any VAH, POC or VAL from the NY, overnight, weekly or developing profile, plus VWAP or a VWAP band, plus an HVN.
A	3	
B	2	
C	1	

KEY TAKEAWAY

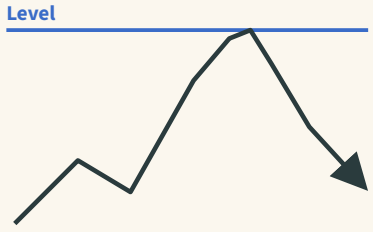
Count the levels sitting together. The more there are, the higher the grade.

PART 03

Where the Setups Come From

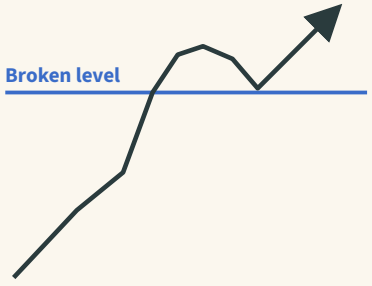
Accept or reject, at a level.

The Snap



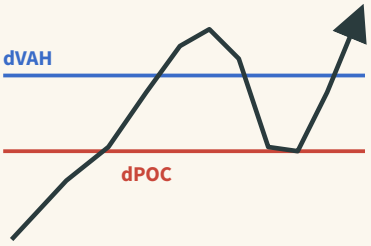
Rejected at the level
Back towards value

The Flip



Accepted beyond it
Retest, then continue

The Magnet



Past dVAH, then back
dPOC retest, continue

👆 The Snap

Price can't build volume past the level, so it rotates back to value. **Rejection.**

🔄 The Flip

Price breaks the level and volume builds beyond it. The retest is the entry. **Acceptance.**

🧲 The Magnet

Price goes into expensive or cheap and builds acceptance there, then comes back to the dPOC to continue. **Fair value.**

THE ONE WARNING

If price ranges just above or below your level and an HVN starts building there, the level is under pressure and more likely to break. Skip the Snap and wait for the Flip. More in the Bonus Tips.

YOUR HOMEWORK

Find one of each

Mark your levels for the session you trade, then find one Snap, one Flip and one Magnet on your own chart and grade each one. Post them in #trade-review.

Education only, not financial advice.